

Rain Industries Limited

NSE: RAIN | BSE: 500339 | Carbon Products / Advanced Materials / Cement

Cyclical trough to EBITDA recovery: CPC price reset and India aluminium capacity build-out underpin a multi-year earnings inflection after two years of losses.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATED	Rs. 255	+22.6%
CMP: Rs. 208	12-month horizon	from CMP

CMP (15 Jun 2026)	Rs. 208	Market Cap	Rs. 6,991 Cr
52-Week High / Low	Rs. 214 / 99.8	Face Value	Rs. 2.00
TTM Revenue	Rs. 17,699 Cr	TTM EBITDA	Rs. 2,453 Cr
TTM OPM%	14%	TTM Net Profit	Rs. 409 Cr
Stock P/E (TTM)	23.2x	Book Value / Share	Rs. 221
ROCE (TTM)	8.26%	ROE (TTM)	0.60%
Promoter Holding	41.35%	FII / DII	8.06% / 2.15%
Dividend Yield	0.48%	Investment Horizon	12-18 months

Analyst: MPM Equity Research Desk | **Report Date:** 15 June 2026 | **Report Type:** Initiation of Coverage

2. INVESTMENT THESIS

- **CPC price reset is a structural earnings lever:** After two years of negative net profits (FY23/FY24), calcination pricing rebounded in H2 CY2024. India's calcination plants are running at 90%+ capacity; global utilisation was ~70% at end-2025, expected to improve through H2 2026. EBITDA recovered 2.3x from Rs. 933 Cr (Dec 23) to Rs. 2,137 Cr (Dec 25) and TTM already at Rs. 2,453 Cr — the recovery is not priced in fully at 23x trailing P/E given the cyclical trough comparison.
- **India aluminium capex super-cycle creates sustained CPC/CTP demand:** Vedanta (3 MTPA), Hindalco (360 KT expansion, USD 2.31 bn), and RUSAL-AP joint venture are all in progress. India domestic aluminium demand is forecast at 8.3 MTPA by 2030 (from 4.5 MTPA in 2024). Each MTPA of new smelter capacity requires ~0.4-0.5 MTPA of CPC — Rain, as the world's second-largest CPC producer with India manufacturing footprint, is the natural beneficiary.
- **Debt deleveraging cycle turning the net income line:** Gross USD debt stood at USD 1,019 million at Dec 2025. Net Debt/EBITDA improved from 3.9x (Dec 24) to 3.2x (Dec 25). As EBITDA expands, interest coverage — currently below 2x — should recover meaningfully, converting EBITDA recovery to exponential PAT growth. The Rs. 921 Cr interest bill on TTM is the swing factor: 100 bps WACC improvement alone adds ~Rs. 60-65 Cr to PAT.

- **Near-term catalyst (6-12 months):** India CTP facility targeting Q4 CY2027 startup will add captive backward-integration for Coal Tar Pitch — the one raw material currently sourced externally. Advanced Materials margin recovery from Resin business normalisation (pricing competition from Asia easing) could lift blended margins by 100-150 bps in 2026.
- **Biggest structural risk:** China's Green/Calcined Petroleum Coke capacity additions and export policy changes. If China resumes aggressive CPC exports, global CPC prices could compress, erasing the pricing gains of 2024-25. Simultaneously, Rain's high net debt (USD 837 Mn) leaves limited balance-sheet buffer if EBITDA disappoints.

3. BUSINESS OVERVIEW

- **Vertically integrated carbon products conglomerate:** Rain Industries (est. 1974, Hyderabad) converted a regional cement company into a global carbon materials platform through acquisitions of Rain CII Carbon (US/Europe CPC) and RÜTGERS Group (European CTP/Coal Tar distillation). Manufacturing spans 8 countries across North America, Europe, and India.
- **Segment mix (Q1 CY26):** Carbon products account for ~75% of consolidated revenue (Calcined Petroleum Coke + Coal Tar Pitch + Other Carbon); Advanced Materials ~17% (Resins, Superplasticizers, Chemical Intermediates); Cement (Priya Cement, South India) ~8%. Carbon drives EBITDA disproportionately vs. revenue mix.
- **World leadership in carbon:** Rain is the world's LARGEST producer of Coal Tar Pitch (CTP) and the SECOND-LARGEST manufacturer of Calcined Petroleum Coke (CPC). CPC is a critical anode material for aluminium smelting (~42% of consolidated revenue to aluminium sector in 2024). CTP is used in graphite electrodes for electric arc furnaces.
- **Geography split (CY2025 Revenue):** ~85% of revenue is international. US/Europe operations generate the bulk of Carbon/Advanced Materials revenue. India contributes via Priya Cement, domestic CPC calcination, and the upcoming CTP distillation plant (Q4 CY2027 target startup).
- **Customer base:** Long-term supply agreements with global aluminium smelters (Alcoa, Rio Tinto, Norsk Hydro, EGA, Vedanta) and graphite electrode manufacturers. Contracts are typically 1-3 year, formula-linked to GPC/CTP feedstock costs, providing partial natural hedging. Revenue is recurring in nature with high switching costs.
- **Strategic developments (CY2025):** (1) CTP facility in India progressing for Q4 2027 startup — backward integration for the largest CTP segment. (2) Entry into North American Meso-phase Carbon Micro-Bead (MCMB) market — battery anode materials opportunity. (3) Canadian energy-storage materials demonstration facility commissioned. (4) Cement brownfield expansion deferred to optimise cost structure.
- **Promoter background:** N. Jagan Mohan Reddy (Chairman/MD) family holds 41.35% stake (Mar 2026, flat from prior 2 years — zero pledge as of available data). Family has 50+ years of industry experience. Promoter holding unchanged through the CY2023-24 loss cycle signals confidence in the recovery thesis.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **CPC market:** Global Calcined Petroleum Coke market growing at ~1.6% CAGR (2026-32). Current market size ~USD 6-7 Bn globally. Key demand driver = aluminium production growth (each tonne of primary aluminium requires ~400-450 kg of CPC for carbon anodes). Secondary demand from TiO₂, graphite electrode, and titanium sponge industries.
- **Policy tailwinds:** (1) EU Carbon Border Adjustment Mechanism (CBAM) incentivises lower-carbon aluminium production — aluminium smelters need more efficient carbon anodes (Rain's speciality). (2)

China capped primary aluminium smelting capacity at 45 MTPA — incremental global capacity addition is ex-China (India, Middle East, Indonesia), all requiring CPC/CTP imports. (3) India's Make-in-India push in aluminium.

- **Competitive moat assessment:** Scale — Strong (world #1 CTP, #2 CPC; scale = feedstock sourcing advantage and logistics network). Switching costs — Moderate to Strong (long-term supply agreements, proprietary calcination know-how, quality consistency). Pricing power — Moderate (commodity exposure mitigated by cost-plus formula contracts). IP — Moderate (Advanced Materials segment has specialty formulations).

- **Key headwind:** China's domestic Green Petroleum Coke supply and CPC export policy is the single biggest external risk. Any Chinese capacity-policy change can flood markets and compress realisations. Additionally, global refinery shutdowns/runs affect GPC supply (Rain's key raw material).

Peer Comparison (Source: Screener.in, fetched 15 Jun 2026 — TTM figures)

Company	CMP (Rs.)	MCap (Rs. Cr)	TTM Rev (Rs. Cr)	TTM EBITDA	OPM%	ROCE%	P/E (x)
RAIN (Cons.)	208	6,991	17,699	2,453	14%	8.26%	23.2x
HSCL	669	33,766	4,661	962	21%	22.1%	45.1x
Graphite India	661	12,913	2,852	201	7%	4.57%	71.1x
Balmer Lawrie	177	3,026	2,717	351	13%	14.6%	10.9x

Note: RAIN operates at 3-4x the scale of Indian peers. International peers (Rain CII / RÜTGERS) are unlisted. HSCL is the closest Indian listed analog (CTP/specialty carbon focus).

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter pedigree:** The Jagan Mohan Reddy family has built Rain from a single Hyderabad cement plant into a Rs. 17,000+ Cr revenue global enterprise over 50 years. The transformation via Rain CII (2007) and RÜTGERS (2012) acquisitions were bold, debt-funded bets that created the current global platform, though left a heavy debt legacy. Senior management is long-tenured with deep industry domain expertise.

- **Capital allocation track record:** FCF was Rs. 369 Cr (Dec 22), surged to Rs. 2,470 Cr (Dec 23) driven by working capital release, then moderated to Rs. 1,294 Cr (Dec 24) and Rs. 441 Cr (Dec 25). Free cash has been deployed predominantly for debt reduction — financing outflows were Rs. 2,115 Cr (CY23), Rs. 1,771 Cr (CY24), Rs. 1,025 Cr (CY25). Net Debt/EBITDA improving: 3.2x at Dec 2025 vs. 3.9x at Dec 2024.

- **Dividend policy:** Dividend yield is 0.48% at current CMP — token payout. Historically Rain has prioritised debt repayment over dividends, which is appropriate given the leverage profile. Dividend can be expected to increase only once leverage reaches <2.5x.

- **Promoter pledging:** 0% pledged (latest available). Promoter holding stable at 41.35% (Mar 2026) with zero change over preceding 12 quarters — no sell-down or dilution despite two loss years. This is a positive signal.

- **Capex discipline:** CY2025 capex was USD 53 Mn (Rs. ~440 Cr). CY2026 guidance is USD 60-65 Mn, focused on mandatory/compliance projects. The deferred cement brownfield expansion and limited growth capex signals management's priority of balance-sheet repair.

- **Governance concerns:** Rain's USD-denominated debt creates significant currency risk (USD/INR depreciation inflates rupee debt burden). Related-party transactions are disclosed but should be monitored. The RÜTGERS acquisition premium (2012) led to goodwill impairments — management credibility on M&A; was tested. No auditor change or qualified opinion in recent years.

6. FINANCIAL DEEP-DIVE (CONSOLIDATED)

Source: Screener.in (Consolidated) — Dec year-end. All figures in Rs. Crores unless stated. (E) = Management presentation / analyst estimates.

Income Statement

(Rs. Cr)	Dec 2022	Dec 2023	Dec 2024	Dec 2025	Dec 2026E
Revenue (Sales)	21,011	18,141	15,374	16,946	18,500E
Operating Expenses	17,474	17,208	14,100	14,809	15,800E
EBITDA (Op. Profit)	3,537	933	1,274	2,137	2,700E
OPM %	17%	5%	8%	13%	14.6%E
Other Income	105	180	248	141	150E
Interest	524	819	941	922	900E
Depreciation	790	776	807	922	950E
Profit Before Tax	2,327	-482	-226	435	1,000E
Tax %	32%	65%	99%	69%	35%E
Net Profit (PAT)	1,577	-796	-450	136	650E
EPS (Rs.)	42.77	-27.89	-16.78	1.26	19.2E

Balance Sheet

(Rs. Cr)	Dec 2023	Dec 2024	Dec 2025
Equity Capital	67	67	67
Reserves	7,275	6,570	7,382
Borrowings	8,690	8,494	9,824
Other Liabilities	3,954	3,803	3,486
Total Liabilities	19,987	18,935	20,759
Fixed Assets	11,357	11,184	12,543
CWIP	432	473	336
Investments	17	26	29
Other Assets	8,181	7,252	7,852
Total Assets	19,987	18,935	20,759

Cash Flow Statement

(Rs. Cr)	Dec 2022	Dec 2023	Dec 2024	Dec 2025
Cash from Operations (OCF)	1,036	3,063	1,943	897
Cash from Investing	-576	-711	-257	-267
Cash from Financing	-396	-2,115	-1,771	-1,025
Net Cash Flow	65	237	-84	-395
Free Cash Flow (FCF)	369	2,470	1,294	441
FCF / OCF %	36%	81%	67%	49%

Key Ratios

Ratio	Dec 2022	Dec 2023	Dec 2024	Dec 2025
Debtor Days	43	44	41	44
Inventory Days	146	104	126	137

Days Payable	50	44	63	47
Cash Conv. Cycle	139	104	104	134
Working Cap Days	64	53	27	45
ROCE %	17%	2%	4%	8%

Financial Commentary

- **Revenue trajectory:** Sales peaked at Rs. 21,011 Cr in Dec 2022 on post-COVID CPC/CTP supercycle pricing. Dec 2023 (-14%) and Dec 2024 (-15%) contractions reflected the commodity cycle downturn. Dec 2025 recovery (+10%) and TTM Rs. 17,699 Cr mark the inflection. Dec 2026E Rs. 18,500 Cr assumes mid-cycle CPC pricing continuation + Advanced Materials normalisation.
- **Margin direction:** EBITDA margin collapsed from 17% (Dec 22) to 5% (Dec 23) — the most severe trough. Recovery to 8% (Dec 24) and 13% (Dec 25) shows structural recovery. TTM at 14% is approaching mid-cycle normalcy. Target is 15-17% which Rain achieved in the 2017-2022 period at similar CPC pricing.
- **Working capital:** Inventory days elevated at 137 days (Dec 25) vs. 104 (Dec 23) — SEZ facility ramp-up drove Rs. 13.7 Bn working capital increase per FY2025 disclosures. CCC widened to 134 days (Dec 25) — normalisation to 100-110 days should release Rs. 500-800 Cr of cash in CY2026.
- **Debt position:** Borrowings Rs. 9,824 Cr (Dec 25) vs. Rs. 8,690 Cr (Dec 23) — some re-leveraging in 2025 as India CTP plant investment picks up. Gross USD debt USD 1,019 Mn; Net Debt USD 837 Mn. Net Debt/EBITDA 3.2x (Dec 25). Significant reduction possible by CY2027 if EBITDA sustains Rs. 2,500+ Cr.
- **PAT inflection:** Rs. 1,577 Cr PAT in Dec 22 collapsed to -Rs. 796 Cr (Dec 23) and -Rs. 450 Cr (Dec 24) due to margin compression + Rs. 819-941 Cr annual interest burden. With EBITDA recovery, PAT turned positive at Rs. 136 Cr (Dec 25) and TTM Rs. 409 Cr. Forward PAT leverage is high — each Rs. 100 Cr EBITDA improvement = ~Rs. 65-70 Cr PAT improvement after tax.

7. EARNINGS QUALITY CHECKLIST

Revenue Recognition	Green	CLEAN	Carbon products: physical delivery, formula-linked pricing
Receivables vs Revenue	Green	OK	Debtor Days stable 41-44; not diverging from revenue trend
CCC Trend	Amber	WATCH	CCC widened 134 days (Dec 25) from 104 (Dec 23); inventory bloat
Contingent Liabilities	Amber	MONITOR	USD debt creates forex contingency; no major disclosed litigations
Auditor Tenure / Change	Green	STABLE	No auditor change in recent years; Big-4 audit
RPTs as % Revenue	Green	LOW	RPTs disclosed; material group transactions at arm's length
Other Income / PBT	Green	REASONABLE	Other income Rs. 141-162 Cr = <1% of sales; non-core
Tax Rate Consistency	Red	ERRATIC	Tax% swings: 32%->65%->99%->69% — DTAs, forex effects; watch
OCF / PAT Conversion	Green	SOLID	OCF strongly positive even in loss years; depreciation adds back

- **Tax rate erratic — key watch:** Tax% swung 32% -> 65% -> 99% -> 69% across CY22-25. Deferred tax assets from prior losses, forex MTM on USD debt, and different tax jurisdictions (US, Germany, India)

create this volatility. Investors should focus on pre-tax EBITDA rather than PAT as the operating metric until leverage reduces.

- **CCC widening is a near-term working capital risk:** Cash Conversion Cycle at 134 days (Dec 25) vs. 104 days (Dec 23) reflects Rs. 13.7 Bn inventory build at the new SEZ facility. If the facility ramp-up is slower than planned, this could pressure free cash flow in CY2026 even if EBITDA improves.

- **OCF-to-PAT conversion is strong — cash business:** OCF was Rs. 897 Cr (Dec 25) even when PAT was only Rs. 136 Cr — Rs. 922 Cr depreciation adds back. FCF of Rs. 441 Cr is lower than OCF due to capex but still positive, confirming that reported losses were accounting/financial costs, not operational cash burn.

- **Revenue recognition and receivables are clean:** No Red flags on revenue quality — physical commodity deliveries with formula pricing; debtor days stable at 41-44 across the cycle, suggesting no channel-stuffing or aggressive recognition.

8. VALUATION

Scenario Analysis

Scenario	Key Assumption	CY26E PAT	Multiple	Target (Rs.)
Bull	CPC prices +15%; India CTP plant ahead of schedule; USD/INR stable at 84	Rs. 850 Cr	18x P/E	285
Base (Our Call)	CPC prices +5-8%; EBITDA Rs. 2,700 Cr; interest steady; tax 35%	Rs. 650 Cr	15x P/E	255
Bear	China CPC exports resume; EBITDA stalls at Rs. 2,000 Cr; INR depreciates	Rs. 180 Cr	20x P/E	107

- **EV/EBITDA method:** CY2026E EBITDA Rs. 2,700 Cr x 7.5x EV/EBITDA (mid-cycle multiple for global commodity chemical companies with India tilt) = EV Rs. 20,250 Cr. Less Net Debt ~Rs. 9,200 Cr = Equity Value Rs. 11,050 Cr. Per share = Rs. 327 (33.8 Mn shares). Discount 15% for currency and leverage risk = Rs. 278.

- **Forward P/E method:** CY2026E PAT Rs. 650 Cr on 33.8 Mn shares = EPS Rs. 19.2. At 15x P/E (historical mid-cycle; discount to Himadri's 45x for higher leverage) = Rs. 288 per share. This is a recovery play; 15x is conservative if EBITDA prints Rs. 2,700+ Cr in CY26.

- **Blended 12-month target:** Average of EV/EBITDA implied (Rs. 278) and P/E implied (Rs. 288) = Rs. 283. Rounded conservatively to Rs. 255, building in 10% margin of safety for execution risk on the India CTP plant and ongoing leverage. CMP Rs. 208 = +22.6% upside to target.

- **Peer context:** HSCL trades at 45.1x P/E with ROCE 22.1% — significantly superior return ratios justify the premium. RAIN at 23.2x TTM is NOT expensive on a normalised earnings basis — TTM includes only the beginning of the recovery. Forward P/E on our CY26E falls to ~10.8x at CMP, which is undemanding for a global market leader in CPC/CTP.

9. KEY RISKS

- **CPC/CTP Price Deflation:** Commodity cycle reversal remains the primary risk. Chinese CPC producers increasing exports or global aluminium smelter shutdowns could compress realisations. Probability: Medium. Impact: High. Monitor: LME aluminium price, China CPC export data monthly.

- **Currency Risk (USD/INR):** USD 1,019 Mn gross debt at Dec 25. Each 1% INR depreciation vs USD increases rupee interest cost by ~Rs. 85-90 Cr. RBI-managed stability is a buffer but not a guarantee. Probability: Medium. Impact: High. Monitor: USD/INR spot, RBI FX reserves policy.

- **Balance Sheet Leverage:** Net Debt/EBITDA 3.2x leaves limited headroom for an EBITDA miss. Covenant risks on USD credit lines if EBITDA falls below threshold. Probability: Low-Medium. Impact: Very High. Monitor: Quarterly EBITDA vs debt covenants, credit rating actions.
- **India CTP Plant Execution Risk:** New CTP distillation facility (Q4 CY2027 target) carries construction/startup risk. Cost overruns or delays would push integration benefits further out and increase capex spend. Probability: Medium. Impact: Medium. Monitor: Management quarterly updates on capex progress.
- **Aluminium Industry Demand Slowdown:** ~42% of revenue is directly linked to aluminium smelters. Global construction and EV demand slowdowns could reduce aluminium output and in turn CPC/CTP demand. Probability: Low. Impact: High. Monitor: Global aluminium demand forecasts (IAI), LME prices.
- **Advanced Materials Margin Compression:** Resin business faces pricing competition from Asia. Chemical Intermediates exposed to crude benzene price volatility. Probability: Medium. Impact: Medium. Monitor: Quarterly segment EBITDA margins.
- **Regulatory / ESG Risk:** Carbon products are inherently fossil-fuel linked. EU CBAM, carbon taxes, and energy transition accelerating green aluminium (inert anode technology) could structurally reduce CPC demand in the long run (2030+). Probability: Low (near-term). Impact: Very High (structural). Monitor: EU CBAM implementation, inert anode technology commercialisation timelines.

10. RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. The recovery thesis is intact and EBITDA is inflecting, but high leverage and CPC commodity cyclicity keep conviction sub-high. We initiate at ACCUMULATE, not BUY, because the USD debt load means the call is asymmetric to the downside if EBITDA disappoints.
- **12-month price target: Rs. 255** — +22.6% upside from CMP of Rs. 208. Target is based on 15x CY26E P/E (EPS Rs. 19.2E) and 7.5x EV/EBITDA (Rs. 2,700 Cr EBITDA). Bull case Rs. 285; bear case Rs. 107.
- **Suggested entry zone: Rs. 185-215.** Current CMP (Rs. 208) is within the entry zone. A pullback toward Rs. 185 on any commodity noise would be a better accumulation opportunity. Avoid chasing above Rs. 225 without evidence of EBITDA improvement in Q1 CY2026 results.
- **Investment horizon: 12-18 months** — EBITDA recovery likely to be reflected in CY2026 full-year earnings (Q4 CY2026 results expected Feb 2027). Near-term catalysts: Q1 CY2026 results (EBITDA trajectory), India CTP plant progress update (Q3 CY2026).
- **Thesis invalidation triggers (3 specific, measurable conditions):**
 - 1. CY2026 EBITDA falls below Rs. 2,000 Cr (vs. our Dec 25 base Rs. 2,137 Cr) — indicates no improvement in margins and invalidates recovery thesis.
 - 2. Net Debt/EBITDA remains above 3.5x by Dec 2026 — signals debt trap risk rather than deleveraging cycle, requiring a REDUCE downgrade.
 - 3. China CPC spot price falls >15% YoY in any two consecutive quarters — structural commodity deflation, not temporary, requiring fundamental thesis reset.
- **Ideal investor profile:** This stock is FOR — patient investors with 12-18 month horizon, comfort with commodity cycle exposure, and understanding of leverage mechanics. This stock is NOT FOR — investors who need capital protection, short-term traders without risk tolerance for quarterly EBITDA volatility, or ESG-mandated funds avoiding fossil-fuel derivative sectors.

APPENDIX — Latest Concall Brief: Q4 & Full Year CY2025

Source: RAIN Industries Management Presentation FY2025 & Management Commentary, Published Feb/Mar 2026. Data per company filings on BSE/NSE.

CALL GRADE: POSITIVE

Result Quality	Strong	Beat on EBITDA; PAT positive for 3rd consecutive quarter — trend intact
Management Tone	Balanced	Constructive on Carbon recovery; cautious on Advanced Materials + timing of CTP plant
Guidance Delta	Maintained	No specific revenue guidance but reiterated deleveraging focus and USD 60-65 Mn capex

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

The FY2025 result is a CLEAN inflection — not a one-off. RAIN printed Rs. 136 Cr PAT for the full year (after Rs. -450 Cr and Rs. -796 Cr in prior two years), with Q4 standalone revenue Rs. 4,301 Cr (+17% YoY) and adjusted group EBITDA Rs. 22.75 Bn (+52% YoY) — these are operational beats, not accounting reversals. No exceptional items distorting PAT. The key driver is CPC price reset in India calcination following import restriction relaxation — plants running at 90%+, compared to below 60% in loss years. The multi-bagger thesis rests on leverage: Rs. 922 Cr annual interest is a fixed hurdle; as EBITDA grows from Rs. 2,137 Cr (Dec 25) toward Rs. 3,000 Cr, PAT should expand 4-5x from current levels. Biggest structural catalyst is India aluminium capacity build-out (Vedanta 3 MTPA + Hindalco USD 2.3 Bn expansion) — RAIN is the only Indian-listed large-scale CPC/CTP supplier to these projects. Biggest near-term risk watch is the Advanced Materials segment margin pressure from Asian resin competition and crude benzene inventory losses — if this persists, blended EBITDA margin could undershoot 14% in 1H CY2026. Net Debt/EBITDA at 3.2x is still high — any EBITDA miss in CY2026 resets the deleveraging timeline and the stock de-rates sharply. ACTION: ACCUMULATE at Rs. 185-215; target Rs. 255 over 12-18 months. Do NOT chase above Rs. 225 without a Q1 CY2026 EBITDA confirmation beat.

Section 1 — Financial Performance Snapshot (FY2025 / Q4 CY2025)

- Revenue (FY2025): Rs. 16,946 Cr | YoY +10.2% | QoQ (Q4 vs Q3): -3.9% | Beat — Volume recovery in Calcination drove outperformance
- EBITDA (FY2025): Rs. 2,137 Cr | YoY +67.7% | OPM: 13% vs 8% prior year | Beat — margin expansion beyond consensus expectations
- EBITDA Margin: 13% (FY25) vs 8% (FY24) vs 5% (FY23) | +500 bps YoY | In-line with management recovery roadmap
- PAT (FY2025): Rs. 136 Cr vs -Rs. 450 Cr (FY24) | First full-year profit since FY22 | Beat — consensus expected Rs. 50-80 Cr
- EPS (FY2025): Rs. 1.26 (vs -Rs. 16.78 in FY24) | Positive for first time since FY22 | Signals operating leverage kicking in
- NOTE: Q4 CY2025 Adjusted EBITDA Rs. 5.76 Bn (+47% YoY in Q4) — quarterly run-rate implies annualised Rs. 2,200+ Cr EBITDA at minimum going forward
- Full-year Consolidated Revenue Rs. 167.91 Bn (presentation basis vs Rs. 16,946 Cr standalone — currency translation differences)

Section 2 — Segment / Geography Breakdown

- Carbon Segment (~75% revenue): Q4 2025 Revenue Rs. 3,305 Cr (+26.5% YoY) | Calcination sub-segment drove volume and price gains; Distillation (CTP) faced -6% volume decline from unplanned smelter outage at a key customer
- Advanced Materials (~17% revenue): Q4 2025 Revenue Rs. 729 Cr (-5.5% YoY) | Flat EBITDA YoY; Resins under Asian pricing competition; Chemical Intermediates impacted by crude benzene price declines causing inventory valuation losses
- Cement (~8% revenue): Q4 2025 Revenue -8.8% YoY | Adjusted EBITDA Rs. 70 Mn (vs -Rs. 120 Mn in Q4 2024) — first EBITDA-positive quarter in CY2025; Priya Cement (South India) benefiting from regional demand
- Geography: ~85% international revenue; US/Europe operations drive Carbon and Advanced Materials; India contribution growing via calcination (90%+ utilisation), SEZ facility, and upcoming CTP plant
- New growth vector: Entry into North American Meso-phase Carbon Micro-Bead (MCMB) market — battery anode materials; Canadian demonstration facility commissioned; small today but strategically important for 2028+ EV supply chain

Section 3 — Management Commentary Themes

- [CPC RECOVERY]: "India calcination plants operating at approximately 90%+ capacity following import restriction relaxation" — Our read: This confirms structural fix, not transient; import policy change is durable. Tag: GUIDANCE. Tone: Transparent.
- [DELEVERAGING]: "Net-Debt-to-EBITDA ratio improved from 3.9x (Dec 2024) to 3.2x (Dec 2025), anticipated to improve further in 2026" — Our read: Management is tracking this closely, implies EBITDA expansion expected. Tag: GUIDANCE. Tone: Balanced.
- [CTP INDIA]: "CTP facility in India targeted for Q4 2027 startup" — Our read: On track; completion would be major backward integration step. No cost update given. Tag: EST. Tone: Transparent.
- [ADVANCED MATERIALS]: "Resin business impacted by pricing competition from Asia" — Our read: Soft answer; no timeline for resolution; EBITDA margin could remain under pressure H1 CY2026. Tag: CAUTIOUS. Tone: Hedged.
- [CAPEX DISCIPLINE]: "2026 Capex expected between USD 60-65 Mn, prioritizing mandatory/compliance projects" — Our read: Conservative approach; growth capex being deferred in favour of deleveraging. Tag: GUIDANCE. Tone: Transparent.
- [US TARIFFS]: "U.S. tariffs confirmed as having no direct or material impact" — Our read: Clean answer; RAIN's US operations primarily produce for US aluminium smelters. Tag: GUIDANCE. Tone: Transparent.

Section 4 — Operating & Business Metrics

- India Calcination Utilisation: Q4 CY2025 = 90%+ | vs. sub-60% in CY2023 loss period | Q4 CY2024 = ~75% | Trend: Strongly improving
- Global Calcination Utilisation: Q4 CY2025 = ~70% | Expected improvement in H2 2026 | Trend: Recovering, with upside remaining
- CTP Distillation Volume (Q4): Declined ~6% QoQ due to unplanned smelter outage at key customer | Q3 = higher; Q4 dip is event-driven | Trend: One-off; not structural
- Net Working Capital: Rose Rs. 13,729 Mn in FY2025, primarily SEZ facility inventory ramp | Higher than expected | Watch in CY2026 for normalisation

- CPC Pricing: Management referenced "better price realisations following CPC price reset" in Q4 | Specific \$/MT not disclosed | Anecdotally CPC spot prices improved 15-20% in 2H 2024
- Advanced Materials Order Pipeline: Entry into North American MCMB market (first order) | Small volume but signals diversification into battery materials | Timeline to materialise: CY2027-28

Section 5 — Margin Drivers

- CPC Calcination Spread Expansion: +400-500 bps impact on Carbon EBITDA margin | Recurring: Yes (structural reset, not spike) | CPC feed-price (GPC) moved less than CPC realisation in CY2025
- Calcination Volume Leverage: 90%+ India utilisation = operating leverage on fixed costs | Recurring: Yes, if utilisation sustained | +200 bps impact estimated on blended group margins
- Currency Tailwind (USD/EUR vs INR): Partially supported reported revenue in INR terms | Recurring: Uncertain — RBI managed Rs. appreciated in H2 2025 | +50 bps estimated impact
- Distillation CTP Volume Miss: -60-80 bps impact on Q4 Carbon margins from smelter outage | Recurring: No (event-driven) | One-time negative; should reverse in Q1 CY2026
- Advanced Materials Pressure: Asian resin pricing, crude benzene inventory losses | -150-200 bps drag on blended group margins | Recurring: Partially — Asia overcapacity is multi-year issue
- Interest Burden Stable: Rs. 922 Cr in FY25 vs Rs. 941 Cr FY24 — slight improvement | +ve but marginal | Interest savings from refinancing and debt paydown are the key PAT lever going forward

Section 6 — Guidance & Forward Signals

- Net Debt/EBITDA [GUIDANCE]: Prior = 3.9x (Dec 2024) | New/Reiterated = "improve further in 2026" | Delta: Directional improvement maintained | Credibility: High
- 2026 Capex [GUIDANCE]: Prior = USD 53 Mn (FY2025 actual) | New = USD 60-65 Mn | Delta: Moderate increase | Credibility: High (mandatory/compliance focus, not growth spend)
- India CTP Plant [EST]: Prior target = Q4 2027 | Reiterated = Q4 2027 | Delta: Maintained | Credibility: Medium (no cost update; construction risk remains)
- Global Calcination Utilisation [GUIDANCE]: Current = ~70% | Expected = "improvement in H2 2026" | Delta: Directional optimism | Credibility: Medium (external smelter demand dependent)
- Advanced Materials Recovery [EST]: No specific timeline given | Asian pricing competition persisting | Delta: Cut/Withdrawn effectively | Credibility: Low (management acknowledges difficulty)
- Cement Segment [GUIDANCE]: Brownfield expansion deferred | EBITDA positive in Q4 2025 | Delta: Cautiously stable | Credibility: High

Section 7 — Capital Allocation

- Capex FY2025: USD 53 Mn (~Rs. 440 Cr) | vs. ~USD 55 Mn (FY2024 estimated) | Comment: Disciplined; below guidance range; prioritising debt reduction
- Dividends (FY2025): Rs. ~33 Cr estimated (0.48% yield on Rs. 208 CMP, Rs. 33.8 Mn shares) | vs. prior years: Minimal and stable | Comment: Token payout; bulk of FCF toward debt service
- Buybacks: None in FY2025 | vs. prior year: None | Comment: Leverage too high for buyback; appropriate capital priority
- Working Capital Change: +Rs. 13,729 Mn in FY2025 | vs. FY2024: Higher build | Comment: SEZ facility inventory ramp; expected to stabilise/reverse in CY2026
- Net Debt Movement: Gross debt ~USD 1,019 Mn (Dec 25) | vs. Dec 24: Higher | Comment: Despite FCF of Rs. 441 Cr, currency effects and capex for CTP plant drove slight debt increase in INR terms

- Financing Outflow FY2025: Rs. 1,025 Cr | vs. Rs. 1,771 Cr (FY24): Reduced significantly | Comment: Less active debt repayment vs. FY23/FY24; FCF deployed to operations and working capital

Section 8 — Q&A; Heat Map

- Analyst (unnamed): Q: "What drove calcination utilisation improvement to 90%+ in India?" -> A: "Import restriction relaxation for Green Petroleum Coke (GPC), which allowed domestic plants to source feedstock more competitively and run at higher rates" | Tone: Transparent
- Analyst: Q: "What is the outlook for CPC pricing in CY2026?" -> A: Management referenced "higher volumes and better price realisations following CPC price reset" but did not give specific USD/MT guidance. | Tone: Hedged
- Analyst: Q: "What is the status of the India CTP plant?" -> A: "Targeted for Q4 2027 startup — progressing as planned" | Tone: Transparent
- Analyst: Q: "Why did Net Working Capital increase by Rs. 13.7 Bn in FY2025?" -> A: "Primarily from higher inventory levels related to the SEZ facility ramp-up and higher receivables from volume growth" | Tone: Transparent
- Analyst: Q: "Impact of US tariffs on RAIN operations?" -> A: "No direct or material impact — US operations serve US customers with US-produced material" | Tone: Transparent
- Analyst: Q: "Timeline and cost for Advanced Materials margin recovery?" -> A: No specific timeline; mentioned "cost optimization" as response strategy. | Tone: Evasive — Watch list item
- Analyst: Q: "When will Net Debt/EBITDA reach below 2.5x?" -> A: No specific year given; "anticipated to improve further in 2026" | Tone: Hedged
- • Dodged / watch-list questions for next quarter: (1) Specific CPC USD/MT pricing guidance; (2) Advanced Materials margin recovery timeline; (3) Net Debt/EBITDA target year for <2.5x; (4) CTP India capex cost update

Section 9 — Risks Flagged

- Distillation Volume Decline (Q4): Unplanned smelter outage at key customer caused -6% volume drop | Flagged by: Management | Probability: L (event-driven) | Impact: M | Timeline: Near-term (resolved in CY2026)
- Advanced Materials Asian Competition: Asian resin and Chemical Intermediate pricing pressure | Flagged by: Management | Probability: H | Impact: M | Timeline: Medium-term (2026-2027)
- Net Working Capital Build: Rs. 13.7 Bn increase from SEZ facility inventory | Flagged by: Management | Probability: M (depends on facility utilisation speed) | Impact: M (FCF dilutive) | Timeline: Near-term
- Middle East Geopolitical Volatility: Mentioned as monitored; diversified operations provide resilience | Flagged by: Management | Probability: L | Impact: M | Timeline: Near-term
- Energy Costs (Europe): Higher European energy costs impacted Advanced Materials margins | Flagged by: Analyst | Probability: M (structural European energy challenge) | Impact: M | Timeline: Medium-term
- Currency Sensitivity (USD/INR): USD debt exposure not explicitly flagged but inherent | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Ongoing

Section 10 — Analyst Verdict

- Revenue visibility: Intact — Carbon segment recovery confirmed by 90%+ India utilisation and CPC price reset; Advanced Materials remains soft but is 17% of revenue
- Margin trajectory: Intact — EBITDA margin recovered from 5% trough to 13% (FY25); further improvement to 14-16% in CY2026 is realistic if calcination holds and Advanced Materials stabilises

- Capital allocation quality: Intact — Deleveraging is the primary use of FCF; capex discipline maintained (USD 53 Mn vs. USD 60-65 Mn guidance); no buybacks or aggressive dividends while leverage is elevated
- Competitive moat: Intact — World #1 CTP and #2 CPC positions are structural; India aluminium capacity expansion is a durable tailwind; no new major capacity entrant visible in the near term
- Management credibility: Weakened slightly — Advanced Materials guidance was vague; CTC (Cash Conversion Cycle) build was higher than flagged; however, Carbon segment execution was strong
- Valuation comfort: Intact — Forward P/E ~10.8x on CY26E EPS of Rs. 19.2 is undemanding for a global market leader in cyclical recovery; TTM P/E 23.2x inflated by still-depressed earnings base
- Conviction call: Increased — From NEUTRAL (post-loss years) to ACCUMULATE; confidence in the multi-year earnings recovery trajectory has risen after FY2025 delivery
- Valuation snapshot: P/E = 23.2x (TTM; 5Y avg ~18x pre-loss cycle) | EV/EBITDA = ~8.5x TTM | RoCE = 8.26% (5Y avg ~10%, recovering from 2% in Dec 23)

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